

By Malini Bhupta

BACK TO GOOD TIMES

Banking on growth in the next fiscal, corporate India is ready to break the post-meltdown moratorium on salary hikes and dole out fatter annual raises

Double-digit salary increases are back. After a two-year hiatus, when the Indian growth story almost got derailed, companies are back to doling out fancy hikes. With domestic consumption helping the country out of a slowdown, the blue-chip sectors are those which are poised to cater to the domestic demand. According to the 14th Annual Salary Increase Survey conducted by Hewitt Associates, a global human resources services company, Indian companies are expected to give an average salary increase of 10.6 per cent in 2010.

Salary increase projections from 450 organisations show that corporate India is optimistic about growth in fiscal year 2011. Last year, India Inc witnessed an average salary increase of 6 per cent after the boom years of 2006 and 2007, which saw average increases of 14 per cent and 16 per cent respectively. Says Sandeep Chaudhary, leader of Hewitt's Performance and Rewards Consulting practice for South Asia and Middle East: "Organisations in India are positive and are looking at measured, realistic growth, but with a keen eye on cost consolidation

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SALARY INCREASE PROJECTIONS ACROSS EMPLOYEE LEVELS

EMPLOYEE GROUP	2009 INCREASE	2010 PROJECTION	CHANGE
Top Executive	6.2%	9.6%	55%
Senior Management	6.6%	10.1%	53%
Middle Management	7.2%	10.6%	47%
Junior Manager/ Supervisor/ Professional	7.4%	10.9%	47%
Officer Cadre	7.1%	10.4%	46%

